

Invoicing & VAT returns — operating procedure

SECTION 03-finance

TYPE document

STATUS

active

OWNER Founder

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The company is **VAT-registered and filing quarterly** — this document is the finance-side operating procedure that was missing between the analysis in `04-compliance-ksa/vat-compliance-memo.docx` and reality. Figures and deadlines below should be confirmed with the accountant. Entity identity and the VAT number live in `01-governance/company-facts.md` — referenced, not restated.

! Immediate action — the first return is overdue

The VAT registration is effective **2025-11-01** with a **quarterly** period. The first return (period Nov–Dec 2025) was due **2026-01-31**. As of **2026-07-27** that filing — and likely the **Q1 2026 return (due 2026-04-30)** — is overdue.

1. File the outstanding return(s) now via the ZATCA portal (zatca.gov.sa), even if the revenue for the period is zero — a nil return still has to be filed.
2. Expect late-filing / late-payment penalties; check whether a ZATCA penalty amnesty/exemption initiative is currently in force before paying.
3. Engage the accountant to reconcile any output VAT collected since 2025-11-01 against invoices issued.
4. Set the recurring calendar reminders (14 days ahead) that `04-compliance-ksa/saudi-tax-and-compliance-calendar.docx` prescribes.

Return calendar (quarterly, due 30 days after period end)

Period	Due date
Nov–Dec 2025 (first, short)	2026-01-31 — overdue
Jan–Mar 2026	2026-04-30 — verify filed
Apr–Jun 2026	2026-07-30 — this week
Jul–Sep 2026	2026-10-30
Oct–Dec 2026	2027-01-30

Filing a return — step by step (ZATCA portal)

Compute the period figures first with the worksheet `03-finance/vat-return-worksheet.html` (enter amounts excl. VAT; output/input VAT and the net due compute at 15%), then file:

1. Sign in to the ZATCA portal (zatca.gov.sa) → **VAT** → **File return**, and pick the tax period — **the overdue Nov–Dec 2025 first, oldest first**.
2. Transfer the worksheet figures into the return boxes:
 - Standard-rated sales → **box 1** (amount + 15% output VAT).
 - Exports / zero-rated / exempt sales → **box 4 / 3 / 5** (amount, 0 VAT).
 - Reverse charge on imported services → **box 9** (self-assessed 15% as **both** output and deductible input — nets to zero if fully recoverable).
 - Standard-rated domestic purchases → **box 7**; customs import VAT → **box 8**.
3. Check the portal's computed **net VAT due** matches the worksheet's net.
4. Submit, then pay any net payable via **SADAD** using the generated bill number **before the due date** to limit penalties.
5. Download the return acknowledgement + payment receipt and store them in the founder's records (see Records).
6. A nil period is **still filed** — submit a zero return.

Late filing and late payment carry ZATCA penalties; check for any active penalty-amnesty/exemption initiative before paying. The worksheet is a computational aid only — confirm every figure and treatment with the accountant.

Tax-invoice requirements (ZATCA)

Every tax invoice must carry, at minimum:

- Seller legal name **in Arabic**: شركة بدع الدولية
- Seller VAT number and CR number (see company-facts)
- Seller address (Riyadh, Al Baqqal 12965)
- Sequential invoice number and issue date
- Line items with the VAT rate (15%) and VAT amount broken out
- For **simplified** invoices (B2C receipts): a ZATCA-compliant QR code (TLV)
- For B2B: the buyer's name and VAT number

Buyer-side VAT on foreign services (Google Cloud, Gemini, foreign SaaS, etc.) is accounted for under the **reverse-charge** mechanism — see the VAT memo. (Moyasar is a domestic provider, so its fees are domestic-rated, not reverse charge.)

How the products map to invoices

- flygaca.com (**Moyasar**): consumer prices are **VAT-inclusive** (the pricing page shows "incl. 15% VAT"). Moyasar receipts are payment receipts, not tax invoices — a simplified tax invoice (with QR) must be generated per sale, and B2B school invoices are full tax invoices (VAT-exclusive prices + 15%).

- captadel.com (Moyasar): same pattern; Moyasar receipts are payment receipts, so a simplified tax invoice (with QR) is generated per sale and B2B invoices carry the buyer's VAT number (see the captadel SaaS runbook §3).
- Invoice numbering: single sequential series per year (e.g. `INV-2026-0001`), shared across both products; the accountant may split series later.

E-invoicing (Fatoora)

Phase 1 (generation) obligations and the Phase 2 (integration) wave analysis live in `04-compliance-ksa/zatca-fatoora-e-invoicing-compliance-pack.docx`. That pack assumed "Wave 8+ (revenue $\geq$ SAR 25M), estimated 2027" — **re-verify the wave assignment now that the VAT registration is real**, and pick the invoicing software (the pack recommends Qoyod, then Zoho) before invoice volume starts.

The invoice template

A bilingual (AR/EN), ZATCA-Phase-1 tax-invoice template lives at `03-finance/tax-invoice-template.html` (rendered to `_print/03-finance/tax-invoice-template.pdf`). It carries the mandatory fields — Arabic seller legal name, VAT, CR, address, sequential number, issue date, line items with the 15% VAT broken out — and computes the **ZATCA QR TLV** (the 5 mandatory tags: seller name, VAT number, timestamp, total, VAT amount) as base64, shown under the QR slot. The scannable QR image itself is generated by the e-invoicing software (Qoyod → Zoho) from that TLV, not hand-drawn, so the version/EC/mask are guaranteed correct (a malformed QR is a 1,000–10,000 SAR per-invoice penalty). The bank line is a placeholder — **the IBAN is added on the issued invoice at billing time, never committed to the repo**.

The template has a **Standard (B2B) / Simplified (B2C)** mode toggle (screen-only, hidden in print): *simplified* hides the buyer block and retitles to "Simplified Tax Invoice", matching ZATCA's two invoice types — a B2C receipt needs the QR but not the buyer's details, a B2B invoice needs the buyer's name + VAT number.

Records

Keep invoices, returns and supporting records **6 years**, with Arabic-language records available (VAT memo, retention section). Store filed returns and ZATCA acknowledgements in the founder's records alongside the registration certificates.